LFF B2B Integrated Channel Proposal 2025

24 Jan 2025

SLS Proposal | Propose to launch the LFF B2B integrated service by end of Q2 2025 via grey channel, and still allow sellers to ship by themselves offline to minimize the biz impact.

Proposal Matrix		Import CC Type	
		White	Grey
Enforceability	Mandatory	• **Compliance Risk:** N/A • **Cost Level:** High • **Biz Impact:** Large ADO drop for FBS	• **Compliance Risk:** Relatively controllable • **Cost Level:** Low • **Biz Impact:** Partial ADO drop for FBS
	Optional	• **Compliance Risk:** N/A • **Cost Level:** High • **Biz Impact:** Quite limited channel volume due to much higher cost	[Proposed] • **Compliance Risk:** Relatively controllable 1. Choice LFF biz has been already running for 1 year via grey channel, which is also operated by SLS; 2. Shopee entities won't be involved in any export&import declaration operations. • **Cost Level:** Low • **Biz Impact:** N/A

Channel Key Competitiveness and Benefits

No.	Group	As-is	To-be
1	**Lead Time (LH+CC)**	• **Fluctuant and unstable:** ○ Managed 3PL: partially tracked and monitored by SLS ops team but sellers still can choose by themselves; ○ Non-managed 3PL: no tracking.	• **Stable and relatively faster:** ○ Control the volume allocation based on the 3PLs' real-time lead time performance, so to ensure the timeliness and stability; ○ Mostly FCL from CN consolidation warehouse to local warehouse directly, so to avoid the destination devanning and sorting operations. ○ System OOS alert to all the sellers based on the more stable and foreseeable lead time performance if choosing official channel
2	**Cost**	• **Fluctuant LCL rate** quoted by 3PLs directly.	• **Stable:** ○ More stable rate card without frequent change. • **Cheaper:** ○ Lower min. charge. ○ Based on the FCL cost (5~10% lower than LCL): ✓ Cheaper container loading/unloading cost; ✓ No destination devanning and sorting cost.

Channel Key Competitiveness and Benefits

No.	Group	As-is	To-be
3	**CBWH Inbound**	• **Inbound Forecast:** ○ Managed 3PL: not quite accurate due to the different vessel choices and CC performance of each managed 3PLs. ○ Non-managed 3PL: inaccurate. • **Inbound Arrangement:** ○ 3PLs may cancel the inbound scheduling by last minute, which will cause the warehouse capacity waste. • **Inbound Efficiency:** ○ may face the situation that several 3PLs trucks arrive local warehouse at the same time, so have to queue up.	• **Inbound Forecast:** ○ More accurate and advanced since all the vessel selection and 3PL volume allocation are handled by SLS ops team. • **Inbound Arrangement:** ○ Better control on the inbound scheduling operation, cancel in advance if CC delays are expected. • **Inbound Efficiency:** ○ Better warehouse arriving time control to avoid the warehouse capacity waste.
4	**Seller Experience**	• **Logistics status:** ○ Managed 3PL: updated by SLS ops team manually to FBS portal for sellers' reference (not timely); ○ Non-managed 3PL: sellers need to check with 3PL offline. • **Cargo info. transmission:** ○ Manually prepared by sellers offline. • **Payment:** ○ QR code or bank transfer, offline by batch.	• **Logistics status:** ○ Real-time update by API connection. • **Cargo info. transmission:** ○ Online transmission by API connection. • **Payment:** ○ Based on ESCROW auto deduction by certain billing circle.

Key Risk Point

Risk Type	Risk Level	Risk Point	Prevention Solution
Bad Debt	**High**	• System side can only support the chargement function of ESCROW deduction by short term, which may cause bad debt since the cargoes haven't been sold yet. • Current warehouse storage fee chargement is under same way, reference: ○ Current FBS bad debt amount: 10K USD / Half Year; ○ Storage&Handling fee bad debt ratio: ~3%; ○ B2B shipping fee bad debt estimation: 3K USD / Half Year.	• **Solution:** Hold the cargo at CN warehouse before payment ○ **Impact:** 1. More complicate warehouse operation flow (put away area); 2. May need other payment tools if ESCROW amount is not enough (Wechat Pay). • **Solution:** whitelist mode, only allow the sellers with healthy ESCROW record to use. ○ **Impact:** Channel penetration especially for the new sellers.
CN Warehouse Space	**Middel**	No spare space at 神鹰 warehouse	创思 or other new 3rd party warehouse choices
CN Pickup Service	**Middel**	• If cannot find the space at 神鹰 warehouse, then it's hard to integrate LFF domestic pickup service with current SPS service. • Even though can integrate with current SPS, will still impact on the pickup lead time for B2C channel.	• **Solution:** Sourcing for pickup service separately. ○ **Impact:** LFF pickup demand is not stable as SLS B2C, may lead to a higher operational cost. • **Solution:** Don't provide pickup service at the beginning ○ **Impact:** Channel penetration

Channel Main KPI

1. Channel Penetration

- **Official Channel Penetration:** 60% of FBS replenishment orders
- **Seller Satisfaction:** NPS, Scoring, etc.

2. Lead Time

- **Monthly Avg. FM Lead Time Target**
- **Monthly On-time Delivery Ratio**
- **Excessive Delay Cases (Customer Complaints)**

3. P&L

- **Monthly P&L Target:** breakeven or XX%
- **Bad Debt Amount and Ratio:** TBC

4. Local Warehouse Inbound Indicator

- **CC Done - Warehouse Inbound Lead Time**
- **Inbound Forecast Accuracy + Warehouse Capacity Utilization**
- *** OOS ratio caused by FM delay**
- **……**

Channel Main Flow

FBS — ASN Approval → **FBS** — Seller Packing → **FBS** — Channel Choosing & Cost Estimation → **FBS / SLS** — Place Logistics Order → **FBS** — Carton Labelling → **FBS** — Seller Ship Out

Offline — SPS Pick Up

Self arrange

TWS — TWS Inbound&Sorting

TWS — Volume Measurement → **Settlement** — Shipping Fee Billing&Chargement

TWS / SLS — Volume Allocation & 3PL Order Placement

TWS — TWS Outbound

LCL

FCL

Offline — TWS FCL Loading

Offline — TWS Delivery / 3PL Pick Up

Offline — 3PL WHS Container Consolidation

SLS — Export CC

SLS — International Shipping

SLS — Import CC

FCL

SLS / WMS — Local WHS Handover

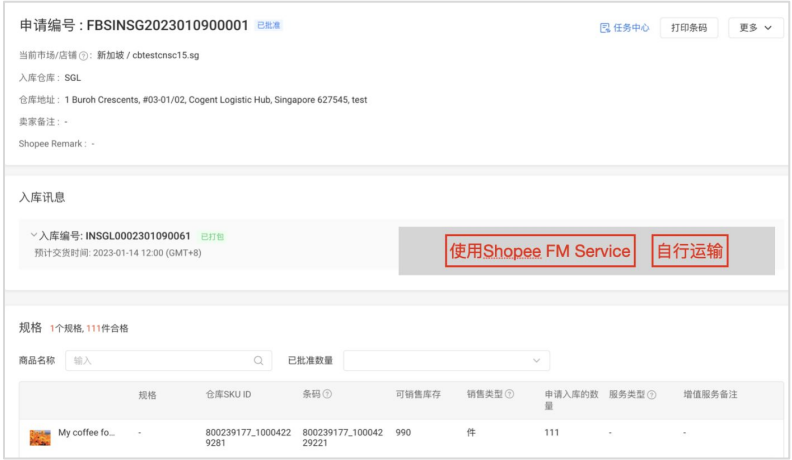
FBS / SLS — Logistics Order Closed

LCL

SLS — 3PL Local WHS Devanning&Sorting

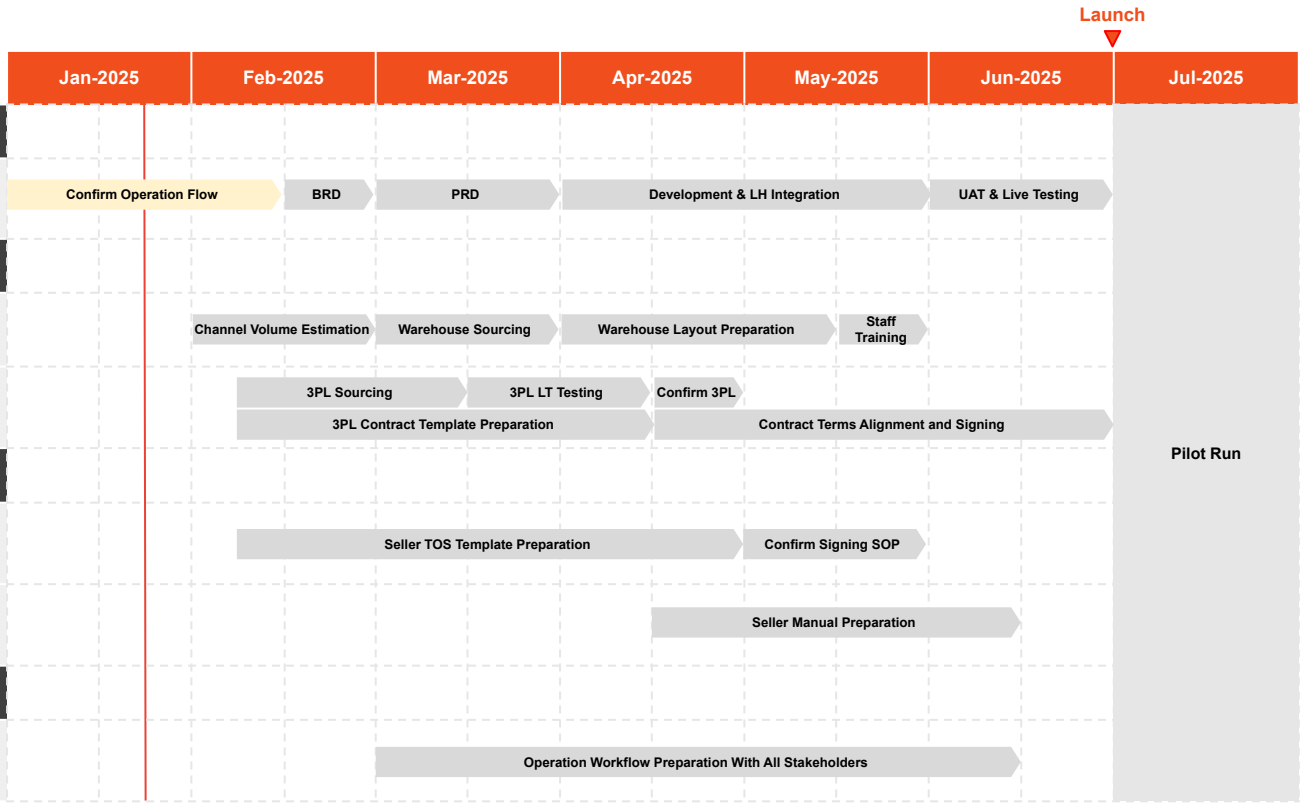
Offline / 3PL Portal — Inbound Forecast and Scheduling

FBS Interface Draft:



Main Flow

Optional Flow

Channel Launch Timeline | Target to launch by end of Q2 2025

System Function	Status	ETA
FBS+SLS+Settlement System function	In Progress	30-Jun
Logistics Readiness	**Status**	**ETA**
CN consolidation warehouse preparation (space+equipment+staff)	To be started	31-May
LH+CC 3PL sourcing	To be started	30-Jun
Seller Material Preparation	**Status**	**ETA**
Seller TOS	To be started	31-May
Seller manual (incl rate table)	To be started	15-Jun
Operation Preparation	**Status**	**ETA**
All operation workflows and SOP (LT/Cost/Billing/CS/……)	To be started	15-Jun